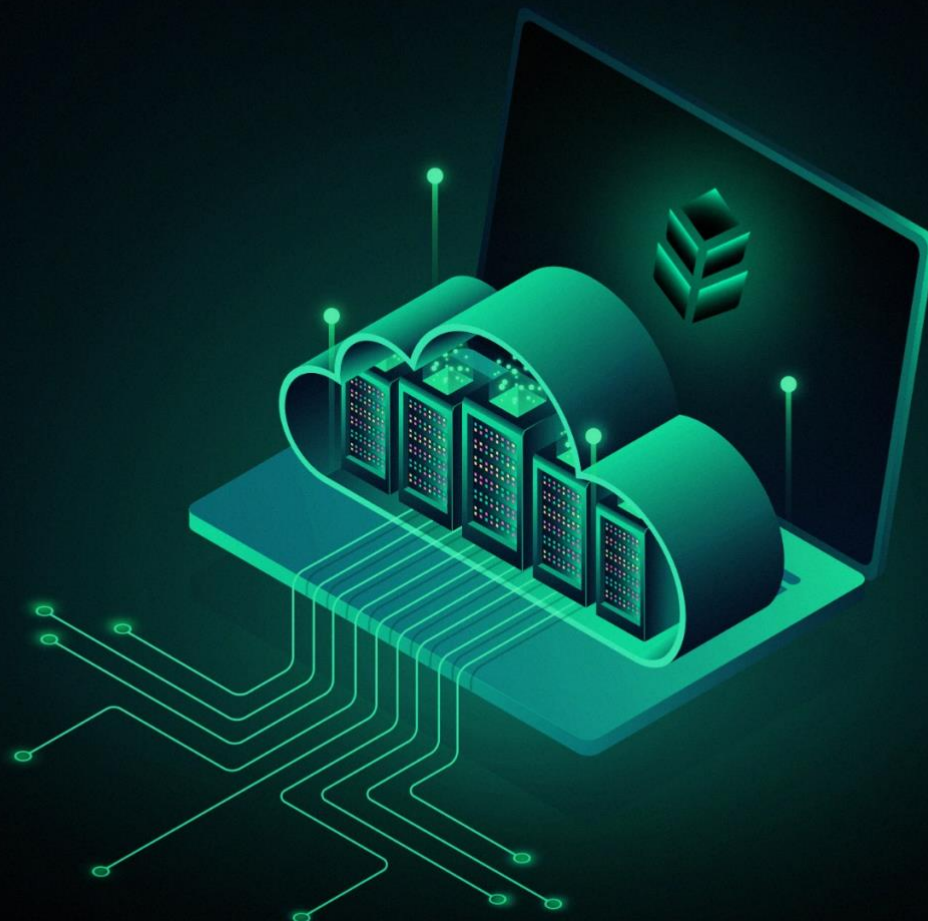




FAST-Infra Label

SM03: Theory of Change

October 2023

FAST-Infra Sustainable Infrastructure® Label

www.fastinfralabel.org

FAST-Infra Label -Theory of Change

Mission

The FAST-Infra Label is designed to enable developers, constructors and operators to show the positive impact of infrastructure assets across the full life-cycle of projects and attract investors seeking assets that positively contribute to sustainable outcomes.

Goal

The FAST-Infra Label aspires to enable transformation of sustainable and resilient infrastructure into a mainstream, liquid asset class, with the aim to potentialize the dual benefits of mitigation and resilience, and improve human and environmental wellbeing on the planet by providing a transparent framework to measure such benefits and ultimately accelerate the provision of infrastructure.

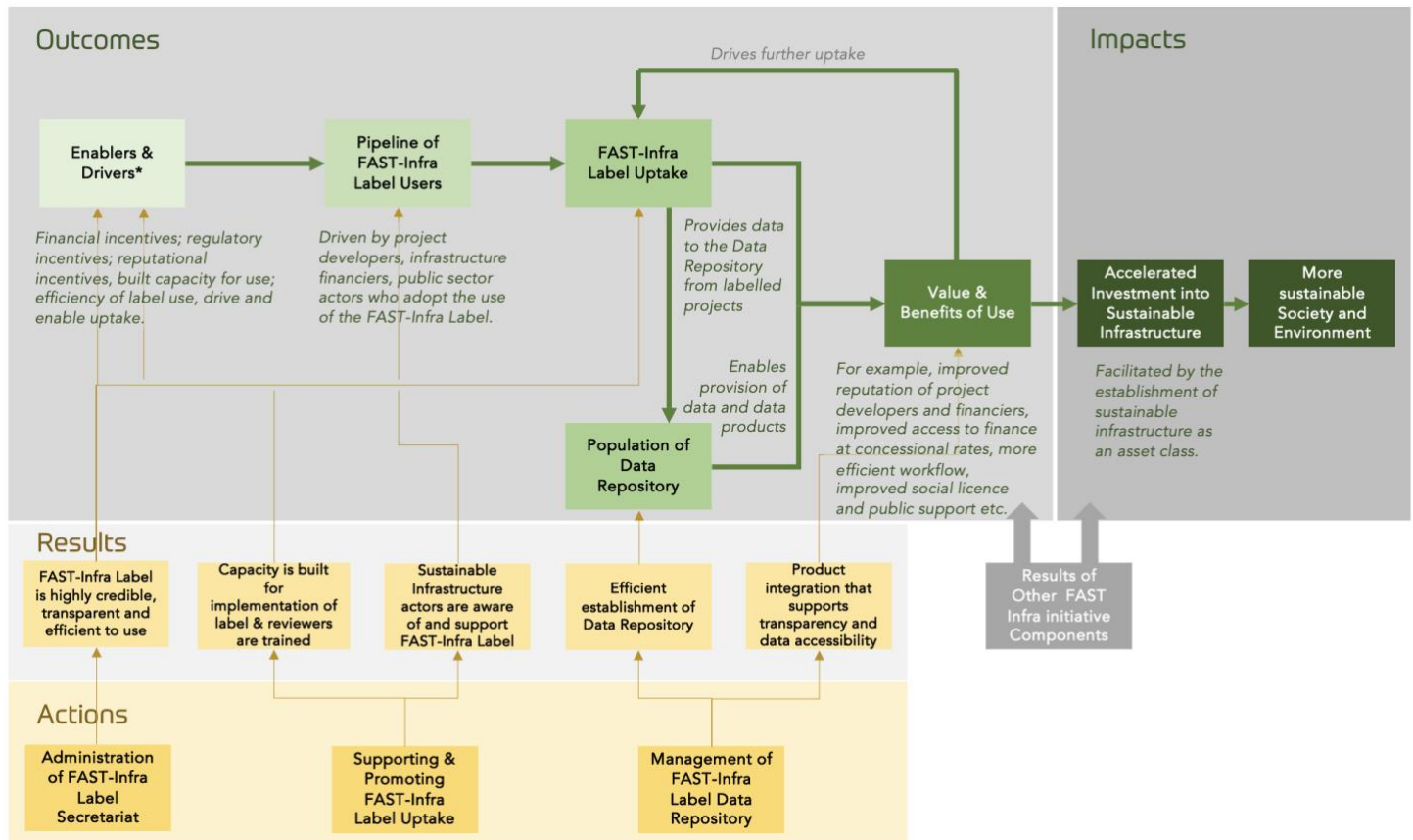
Theory of Change

The Theory of Change (ToC) maps out the change processes that are expected to happen with the use of the FAST-Infra Label. This map of processes of desired change will guide the Secretariat (Global Infrastructure Basel Foundation) and the Data Repository (Bloomberg L.P.) throughout the development and refinement of the label and the platform, in the administration and uptake promotion of the label as well as in the management of the platform.

- IF the existing momentum can be fostered and translated into the right enablers, drivers, and value,
- AND IF the FAST-Infra Label maintains high credibility and practical ease of use,
- AND IF its use provides sufficient value to stakeholders throughout the infrastructure ecosystem,
- THEN project developers, financiers, and public sector actors will drive its continued uptake,
- ENABLING the common metrics and data required that will contribute to transforming sustainable and resilient infrastructure into a more liquid asset class with attractive risk-adjusted returns,
- RESULTING IN the creation of ROI for sustainable and resilient infrastructure, a marketplace of bankable projects and thus accelerated investment into infrastructure projects that drive enhanced benefits for financiers, companies, the public sector as well as dual mitigation and adaptation benefits to the environment,
- WHICH WILL ULTIMATELY LEAD TO significant benefits to society present and future.

Refer to Figure 1 for the graphical representation of the label's ToC.

Figure 1 : FAST-Infra Label Theory of Change



*Enablers and Drivers :

- Financial incentives, e.g. revenue guarantees, preferential rates or tenure, lower insurance premia, predictable and effective cash flow across the full lifecycle of projects.
- Regulatory incentives, e.g. regulatory requirements to comply with performance or disclosure elements of the label, or tender evaluation points awarded for Design and Construction (D&C), Engineering, Procurement, and Construction (EPC) or other contractors who commit to using the label.
- Reputational benefits for companies and governments using the label, which ranges from improving social license to operate through to boosting companies' and financiers' bonafides regarding sustainability. For fund managers, this is a critical point, and whilst framed positively in this context, it also carries a negative alternative of being exposed in greenwashing.
- Transparency as a principle to allow financial markets to access data on sustainable infrastructure and enable comparability among investment opportunities, inform them and ideally shift capital towards more sustainable infrastructure assets.
- Other critical enablers and drivers including building capacity at national and sub national level, but also awareness raising among other ecosystem actors.
- In addition, overall efficiency, quality, consistency and credibility of the standard are key enablers of its uptake. If the label is too costly or cumbersome to use, it will not achieve the intended uptake, making it important to maintain a balance between assurance of information quality and cost of application, whilst helping users develop a consistent and standardized response to global sustainability reporting requirements related to infrastructure projects – in an environment of multiple and emerging framework.